

Yuan Zhou

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Education

Texas A&M University 2021 – Present
Ph.D. in Finance

Johns Hopkins University 2019 – 2020
M.S. in Applied Mathematics and Statistics

University of Washington 2015 – 2018
B.S. in Mathematics

Working Papers

The Corporate Bond ETF Creation Puzzle [Job Market Paper]

Abstract: Standard ETF arbitrage dictates that authorized participants (APs) create shares only when the fund trades at a premium. I document a “creation puzzle” in corporate bond ETFs: across a sample of 211 U.S. funds, 15.7% of primary market creations occur while the ETF trades at a discount to its net asset value (NAV). Using daily fund holdings and bond transactions, I show that this phenomenon is driven by AP inventory constraints rather than traditional price arbitrage. Specifically, APs selectively deliver hard-to-price bonds subject to elevated inventory pressure into ETF creation baskets. Following delivery, these bonds underperform by an average of 5.5 basis points over the subsequent 20 trading days. Furthermore, relative to a matched sample of non-delivered bonds, the delivered assets experience significant dealer sell-offs. These findings suggest that APs strategically utilize the ETF primary market as a mechanism to offload burdensome inventory and avoid inventory risk, bypassing traditional over-the-counter (OTC) liquidations.

Presented at Texas A&M University Finance Brownbag Seminar, 2026 Texas Job Candidate Conference.

Hiring Your Own: Alumni Networks and Inequality in Mutual Fund Manager Hiring

Abstract: This paper examines whether alumni networks influence hiring decisions in delegated asset management and whether such networks generate inefficiencies in managerial labor markets. Using a comprehensive sample of mutual fund manager appointments, I show that funds are nearly twice as likely to hire a manager who shares an alma mater with the incumbent manager. This hiring preference is primarily driven by undergraduate and MBA networks and is stronger among larger funds, during economic downturns, and when labor market conditions are weaker. Importantly, alumni-connected hires underperform non-connected hires by 1.4 percentage points in the year following the appointment. Consistent with investors recognizing these frictions, funds that hire alumni-connected managers experience lower capital inflows, shorter manager tenures, and lower survival rates. Overall, the evidence suggests that alumni networks shape hiring decisions in asset management and may generate agency frictions that impose costs on investors.

Presented at Texas A&M University Finance Brownbag Seminar, 2026 FIRN UQ Asset Management Meeting, 2026 FMA, 2026 SFA

The Illusion of Informed Congressional Trading: Evidence from Committee Networks and Hearings

Abstract: I examine whether members of Congress exploit legislative access for personal equity trading. Using a novel Large Language Model (LLM) approach, I map firm 10-K business overviews to congressional committee jurisdictions to create a continuous measure of firm-politician information alignment. I find no evidence that congressmembers earn abnormal returns when trading stocks closely aligned with their committee assignments. Furthermore, trading performance does not improve following committee hearings, nor is there evidence of cross-committee information spillovers among shared peers. The lack of outperformance is consistent across trade sizes and reporting delays. Finally, exploiting the shift to virtual hearings during the COVID-19 pandemic as an exogenous shock to in-person information sharing, I document no systematic change in trading outcomes. My findings suggest that routine legislative activities do not systematically translate into abnormal returns in congressional stock trading.

Work in Progress

The Volatility Multiplier: Leveraged ETFs and Financial Market Fragility

The New Safe Assets? Tech Corporate Bonds and the Crowding-Out of U.S. Treasuries

Chasing the Fed: Monetary Policy Shocks and Mutual Fund Style Shifting

Invited Conference Discussions

SFA 2026

AI Sentiment

FMA 2024

The Spillover Effects of Implicit Government Guarantee Allocation

Honors & Awards

Dean's Award for Outstanding Teaching

January 2026

Texas A&M University

Professional Activities

Referee for:

- *Quarterly Review of Economics and Finance*
- *Nankai Business Review International*

Teaching Experience

Texas A&M University (Mays)

Fall 2026

Class Administrator, FINC 409 Survey of Finance Principles (Online)

Texas A&M University (Mays)

Summer 2026

Instructor, FINC 361 Managerial Finance

Texas A&M University (Mays)

Fall 2024

Instructor, FINC 351 Investments

Teaching Evaluation: 4.73/5

Texas A&M University (Mays)

Spring 2024

Class Administrator, FINC 409 Survey of Finance Principles (Online)

Certifications

CFA Institute

Passed CFA Level I Examination

December 2019